

MG1002

Foundations in Marketing

FULL MARKING SCHEME

Summer 2023 Examination · Paper 1

National University of Ireland, Cork · University College Cork
Section A (10 MCQs, 10 marks) · Section B (answer any TWO of three, 45 marks each)
Duration: 1.5 hours · Total: 100 marks

Section A · Multiple Choice (10 marks)

All 10 questions must be answered; each carries 1 mark. Answers are listed with a brief justification and a source reference so you can verify against the lecture material yourself.

Q	Question / options	Ans	Why
1	A push strategy involves which of the following? A) An attempt to sell into channel intermediaries (e.g. retailers), dependent on personal selling and trade promotions B) Bypassing intermediaries to communicate to consumers directly C) Heavy promotional expenditure at the start of an advertising campaign to achieve maximum impact D) Heavy promotional expenditure throughout the duration of an advertising campaign to achieve maximum impact	A	push strategy = selling into intermediaries via personal selling & trade promotions
2	Distribution that aims to provide saturation coverage of the market using all available outlets is: A) Exhaustive distribution B) Exclusive distribution C) Intensive distribution D) Selective distribution	C	Intensive distribution = saturation coverage using all available outlets
3	Activities by companies that try to associate themselves with a sponsored event without paying any fee to the event owner: A) Ambush marketing B) Illegal marketing C) Ambitious marketing D) None of the above	A	Ambush marketing = associating with a sponsored event without paying a fee
4	In the introductory stage of the product life cycle, the main strategic marketing objective is to: A) Build B) Hold C) Harvest D) Divest	A	Introduction stage objective = create product awareness and trial (i.e. 'build')
5	A 'product' marketed for a beneficial cause (e.g. reducing obesity, alcohol harm, promoting human rights) is known as ____ marketing: A) Mass B) Services C) Social D) Pure	C	Social marketing = commercial marketing techniques applied to encourage positive social change / beneficial causes
6	Social media ____ (outcome) metrics focus on outcomes of social media activity, such as financial or satisfaction results: A) Activity B) Control C) Interaction D) Performance	D	Performance (outcome) metrics focus on outcomes: leads, referrals, conversions, ROI
7	Which is more common when a household has two income earners? A) Delayed decision-making	D	Dual-income households: consumer behaviour literature on family decision-making documents a shift toward joint/

- B) Faster decision-making
- C) Individual decision-making
- D) Joint decision-making

syncratic decisions when both partners earn (Davis & Rigaux; standard family-DMU material referenced at mg1002.txt: 2910)

Checknote: This isn't stated explicitly in the lecture deck. It draws on established consumer behaviour literature on household decision-making (family DMU research, e.g. Davis & Rigaux), which documents more joint/syncratic decisions once both partners contribute income. Flagged here so you can weigh it accordingly.

- 8 An ad-hoc research study focuses on which of the following?
- A) Testing the effectiveness of an advert
 - B) A specific marketing problem, with data collected at one point in time from one sample of respondents
 - C) Interviewing the same sample of people repeatedly
 - D) All of the above

B Ad-hoc research = specific marketing problem, one point in time, one sample (e.g. customer satisfaction study)

- 9 A skimming strategy is most suitable where ____:
- A) Consumers are less price sensitive
 - B) Consumers are more price sensitive
 - C) There are few competitors present in the segment
 - D) There are many competitors present in the segment

A Skim pricing conditions include 'demand is likely to be price-inelastic' i.e. consumers are less price sensitive

Checknote: "Few competitors" (option C) is also a textbook-valid condition for skimming in a general sense. The deck's own "Conditions for Effective Skim Pricing" slide states demand should be "price-inelastic" - which maps directly to option A - so A is the answer with the clearest source support. Worth knowing both conditions for a fuller answer.

- 10 Commodity products encourage rivalry, while highly differentiated products that are hard to copy are associated with less intense rivalry.
- A) True
 - B) False

A True - commodity/undifferentiated products intensify rivalry; differentiated, hard-to-copy products reduce it (Porter's Five Forces logic)

Section A total: 10 / 10 marks

Section B · Question 1 (45 marks)

Question 1

Discuss the implications of the unique characteristics of services for the marketing activities of services organisations. Illustrate your answer with examples where possible. **(45 marks)**

FULL MODEL ANSWER

Services differ from physical goods along **five defining characteristics** — intangibility, inseparability, heterogeneity, perishability, and lack of ownership — and each carries distinct implications for how a services organisation must design its marketing activities. A physical-goods marketing approach applied unmodified to a service will systematically under-manage risk, quality perception, and demand timing, so each characteristic is addressed in turn below, followed by the strategic response framework (the extended 7Ps) that ties the responses together.

Intangibility. Services cannot be seen, touched, tasted, smelled, or heard before purchase. *Implications:* consumers find it difficult to evaluate competing offerings before buying, which raises perceived risk and pushes price toward becoming the default assessment criterion, and increases reliance on personal information sources (word of mouth, referrals) over advertising claims. *Marketing response:* the organisation must offer tangible cues — a physical facility, staff uniforms, a professional website — and invest disproportionately in image and branding to substitute for the missing physical evidence a shopper would normally inspect. *Example:* a hairdressing salon or a law firm cannot let a client "try before they buy," so both rely heavily on premises quality, staff presentation, and reputation/branding to reduce the client's perceived risk.

Inseparability. Production and consumption of a service happen concurrently — the service is created at the moment it is delivered. *Implications:* the customer becomes a co-producer of the service, and front-line staff effectively *are* the service in the customer's eyes, meaning a poor staff interaction cannot be separated from "the product" the way a defective physical item could be returned and replaced. *Marketing response:* customer-to-customer interactions need active management (e.g. queue design, seating), and staff require training specifically because they represent the brand in real time; measuring quality is inherently harder, which is why frameworks such as SERVQUAL exist to operationalise it. *Example:* a package holiday is produced and consumed simultaneously — the tour operator, airline, and hotel staff are all "the product" at the point of delivery, so a single poorly-trained rep can damage the whole experience regardless of how well the itinerary was designed.

Heterogeneity (variability). Because delivery depends on the individual member of staff, the moment, and the customer's own state, service performance can vary from one encounter to the next. *Implications:* a customer may never receive exactly the same service twice, and maintaining consistent quality is genuinely difficult. *Marketing response:* organisations attempt to standardise the offering through service blueprints and scripted procedures, and back this with guarantees to reassure customers where standardisation cannot fully eliminate variability. *Example:* a coffee chain trains staff to a fixed drink-preparation script precisely because a customer's experience will otherwise depend on which barista happens to be on shift.

Perishability. Unused service capacity cannot be stored for later sale — an empty seat or an unbooked appointment slot expires the moment it passes. *Implications:* demand for services is often irregular and highly

sensitive to fluctuation (time of day, season), and customers may have to wait when demand outstrips capacity. *Marketing response*: dynamic/yield-managed pricing is used to shift demand into off-peak periods (e.g. discounted late holiday deals), reservation systems and comfortable waiting areas manage the customer experience during peaks, and part-time staff are brought on to flex capacity. *Example*: unsold event tickets have no value once the event has taken place — the perishability is absolute, which is why heavy last-minute discounting is common in that sector.

Lack of ownership. A customer pays for access to, or the performance of, a service rather than acquiring a physical asset. *Implications*: there is no or limited physical transfer of goods, and the exchange may be temporary (e.g. renting a hotel room, hiring labour). *Marketing response*: organisations often bundle a tangible product with the service to reinforce a sense of ownership benefit (e.g. a haircut sold alongside retail shampoo), and compensate through consistently high perceived service quality. *Example*: a gym membership grants access to equipment and space, not ownership of either — retention marketing therefore has to keep reselling the ongoing value of that access rather than relying on a one-off purchase decision.

Tying the responses together — the extended services marketing mix. Because the standard 4Ps (product, price, place, promotion) were developed with tangible goods in mind, services marketing extends the mix with three further Ps that map directly onto the characteristics above: *People* (the appearance and behaviour of service deliverers, addressing inseparability and heterogeneity), *Process* (how the service is actually delivered, addressing heterogeneity and perishability), and *Physical evidence* (layout, furnishings, signage, addressing intangibility). A services organisation's marketing plan is therefore incomplete unless it explicitly designs all seven elements, not just the original four.

Mark Allocation — Question 1 (45 marks)

Criterion	What earns full marks	Marks
Intangibility	Correct definition, both consumer-side implications AND a marketing response, supported by a relevant example	8
Inseparability	Correct definition, co-production/staff-as-product implication, a marketing response, supported by a relevant example	8
Heterogeneity	Correct definition, consistency/quality implication, a marketing response (blueprinting/guarantees), supported by an example	8
Perishability	Correct definition, demand-fluctuation implication, a marketing response (dynamic pricing/capacity flexing), supported by an example	8
Lack of ownership	Correct definition, implication, and a marketing response, supported by an example	6
Integration & examples	Explicitly connects responses to the extended 7Ps framework; examples are genuine and well-matched, not generic filler	7

Question 1 total: 45 / 45 marks

Section B · Question 2 (45 marks)

Question 2

List and discuss the macro-environment and micro-environment forces that marketers need to consider when developing and implementing marketing strategy. Illustrate your answer with examples where possible. **(45 marks)**

FULL MODEL ANSWER

The marketing environment is made up of the actors and forces that affect a company's capability to operate effectively in serving its customers. It is conventionally split into the **macroenvironment** — broad forces that affect the whole industry, not just one firm — and the **microenvironment** (or performance environment) — the actors in the company's immediate operating environment.

Macroenvironment — PESTLE. The six macro forces are analysed through PESTLE analysis:

Political — political stability, government policy and regulation change, EU policy, bureaucracy and corruption levels. *Example:* Brexit created lasting political, economic and legal uncertainty for firms trading between the UK and EU, including new trade friction and the Ireland/Northern Ireland border question.

Economic — economic growth, unemployment, interest and exchange rates, taxation, inflation, and the business cycle. *Example:* historically low interest rates have fuelled consumer borrowing for big-ticket purchases such as housing, changing the demand environment for related sectors.

Social/cultural — demographic shifts (age, family size, life expectancy), cultural values, and lifestyle trends. *Example:* the rise of veganism, health consciousness, and sustainability-driven consumption has reshaped product development across food and personal care categories.

Technological — the existence, availability, and pace of change of technology, including automation and cybercrime risk. *Example:* the shift toward driverless vehicles (e.g. Toyota and Uber's partnership on autonomous vehicles) is reshaping the automotive and mobility-services landscape.

Legal — EU-wide and local laws on competition, consumer protection, data protection, and advertising codes of practice. *Example:* GDPR (May 2018) imposed substantial new constraints on how firms collect and use customer data for marketing purposes.

Ecological — climate change, pollution, resource conservation, and corporate social responsibility pressure. *Example:* the phase-out of new petrol and diesel car sales (e.g. Scotland's 2032 target) is forcing a structural shift in automotive marketing strategy toward electric vehicles.

Microenvironment (performance environment). These are the actors that directly or indirectly influence the organisation's operational performance: the company itself, suppliers, distributors, customers, and competitors.

Suppliers — provide raw materials, goods and services; increasingly judged on ethical supply chain practices. *Example:* firms auditing suppliers for fair labour treatment as part of CSR commitments.

Distributors — supermarkets, retailers, and e-commerce channels through which the product reaches the end customer. *Example:* Amazon's move into drone delivery is changing what "distribution capability" means competitively.

Customers — who they are, their choice criteria, and how/when/where they buy; understanding this is the basis for segmentation.

Competitors — both direct rivals and cross-industry disruption. *Example:* the traditional automobile industry now competes with mobility-service providers such as Uber's self-driving initiative and Ford's Chariot ride-sharing vans, showing that "competitors" is a broader category than same-industry rivals.

Why the distinction matters strategically. Macro forces are largely uncontrollable and affect every firm in the industry simultaneously, so the appropriate response is monitoring and adaptation (building "strategic fit" between the firm's capabilities and its changing environment, in Kotler's terms). Micro forces are closer to the firm and more directly actionable — a firm can renegotiate with suppliers, redesign distribution, or reposition against a specific competitor — which is why strategic marketing planning analyses both layers rather than either alone.

Mark Allocation — Question 2 (45 marks)

Criterion	What earns full marks	Marks
Macro — PESTLE identified & discussed (6 factors)	Each of Political, Economic, Social/cultural, Technological, Legal, Ecological correctly named and discussed with a real example (4 marks each)	24
Micro — performance environment (5 actors)	Company, Suppliers, Distributors, Customers, Competitors each correctly identified and discussed with an example	18
Integration & strategic framing	Explicitly explains why macro vs. micro distinction matters for strategy (controllability/actionability), not just two disconnected lists	3

Question 2 total: 45 / 45 marks

Section B · Question 3 (45 marks)

Question 3 — overview

3(a) Discuss what is meant by each of the following marketing terms, illustrating your answer with examples where possible: (i) Market segmentation (5 marks); (ii) Positioning (5 marks); (iii) Target market (5 marks).

3(b) You have been asked by a client company to segment the ice cream market. Use at least three different bases for segmentation and describe the segments that emerge (30 marks).

Each sub-part below starts on its own page with its own worked answer and mark table, per the standard sub-part-per-page layout.

Question 3(a)(i)

Discuss what is meant by **market segmentation**, illustrating your answer with examples where possible.
(5 marks)

FULL MODEL ANSWER

Market segmentation is the process of dividing a heterogeneous total market into smaller groups of customers who share similar characteristics and, as a result, have relatively similar product needs (Dibb, Simkin, Pride & Ferrell, 1997). It rests on the assumption that consumers are not all alike and that some are willing to pay for offerings tailored more closely to their specific needs. Segmentation is the first stage of the STP process (Segmentation → Targeting → Positioning) and allows a firm to allocate marketing resources more precisely than a single undifferentiated approach would. *Example:* BMW segments the car market by income and lifestyle rather than treating "car buyers" as one group, allowing distinct sub-brands (e.g. MINI vs. BMW 7 Series) to target very different customer needs.

Mark Allocation — 3(a)(i) (5 marks)

Criterion	What earns full marks	Marks
Definition	Correctly defines segmentation as dividing a heterogeneous market into groups with similar needs/characteristics	3
Example	A genuine, well-matched illustrative example (not generic)	2

Question 3(a)(ii)

Discuss what is meant by **positioning**, illustrating your answer with examples where possible. **(5 marks)**

FULL MODEL ANSWER

Positioning is the act of designing a company's offering and image so that it occupies a meaningful and distinct competitive position in the minds of target customers. A product's position is defined not by the firm but by consumers, on the basis of the attributes they ascribe to it — its perceived quality, the type of people who use it, its strengths and weaknesses, and its price/value relationship. Good positioning requires a simple, credible, and consistent message that is important to the customer and distinctive versus competitors. *Example:* Coca-Cola and Pepsi sell virtually the same underlying product (carbonated cola) but are positioned very differently in consumers' minds — illustrating that positioning is a perceptual battle, not a product-attribute one.

Mark Allocation — 3(a)(ii) (5 marks)

Criterion	What earns full marks	Marks
Definition	Correctly defines positioning as designing the offering/image to occupy a distinct place in the target customer's mind (perceptual, not just product-based)	3
Example	A genuine, well-matched illustrative example	2

Question 3(a)(iii)

Discuss what is meant by **target market**, illustrating your answer with examples where possible. (5 marks)

FULL MODEL ANSWER

Target marketing refers to the choice of specific market segment(s) that a firm decides to serve, and is a key element of marketing strategy. After the total market has been segmented, the firm evaluates each segment — typically against criteria such as whether it is Distinct, Accessible, Measurable, and Profitable (DAMP) — and selects the one(s) judged most attractive, then designs a marketing mix specifically for that chosen segment. *Example:* a firm segmenting the ice cream market by lifestyle might identify a health-conscious segment, then choose to target it specifically with a low-sugar, high-protein product line and mix rather than trying to serve the whole market with one offering.

Checknote: the example above pre-empts part (b); it's used here only to illustrate the definition and isn't a substitute for the segmentation work required in (b).

Mark Allocation — 3(a)(iii) (5 marks)

Criterion	What earns full marks	Marks
Definition	Correctly defines target market as the specific segment(s) chosen to serve, following evaluation of segment attractiveness	3
Example	A genuine, well-matched illustrative example	2

Question 3(b)

You have been asked by a client company to segment the ice cream market. Use at least three different bases for segmentation and describe the segments that emerge. **(30 marks)**

FULL MODEL ANSWER

The ice cream market can be segmented using several of the standard consumer segmentation bases (demographic/socio-economic, geographic, psychographic, and behavioural). Four bases are used below to exceed the minimum of three and give the client a genuinely usable picture of the market.

1. Demographic segmentation (age/family lifecycle). Splits the market by age and household stage: young children (small, novelty-shaped products, e.g. lollies/ice pops, bought by parents), teenagers (larger single-serve tubs/cones, price- and brand-conscious, influenced by peers), and adults/families (premium tub formats for home consumption, or indulgence single portions). *Commercial implication:* pack size, format (cone/tub/lolly), and channel (corner shop impulse vs. supermarket multi-buy) all differ sharply by this base.

2. Socio-economic segmentation (income/social class). Splits buyers into mass-market/value segments (own-label or standard tubs, price-driven) versus premium segments (artisanal, "super-premium" brands using higher-cost ingredients, sold at a significant price premium and positioned on indulgence/quality rather than value). *Commercial implication:* this base directly informs pricing strategy and which retail channels (discounters vs. delis/premium grocers) to prioritise.

3. Psychographic segmentation (lifestyle/attitudes). Splits the market by lifestyle and health orientation: a health-conscious segment seeking low-sugar, high-protein, or dairy-free/vegan alternatives (reflecting the wider lifestyle trend toward health consciousness and veganism seen across food categories); an indulgence-seeking segment for whom ice cream is a treat/reward product, unconcerned with nutritional content; and an "experience-seeking" segment attracted to novel flavours and provenance stories. *Commercial implication:* this base drives product development (free-from/functional variants) and the tone of communications (health claims vs. indulgence imagery).

4. Behavioural segmentation (purchase occasion/usage). Splits buyers by when and why they buy: at-home family consumption (large tub, planned supermarket purchase, often on promotion), impulse/on-the-go consumption (single-serve, high-margin, bought from convenience outlets/vans on a warm day), and gifting/social occasions (novelty or shareable multi-packs for parties, birthdays). *Commercial implication:* this is the base most directly tied to distribution and promotional timing decisions — e.g. weather-triggered advertising for impulse occasions versus weekly-shop promotions for at-home consumption.

Evaluating the segments (DAMP). Each of the segments above can be checked against the standard evaluation criteria: are they *Distinct* from one another (yes — a health-conscious buyer and an impulse-treat buyer have materially different needs), *Accessible* (yes, via distinct channels — free-from aisles vs. convenience chillers), *Measurable* (broadly yes, via retail sales data by format/channel), and *Profitable* (varies — the premium/health segments typically carry higher margins per unit despite smaller volume). This evaluation step is what would let the client move from "segments exist" to "here is which segment(s) to target."

Mark Allocation — 3(b) (30 marks)

Criterion	What earns full marks	Marks
Choice & justification of bases	At least three distinct, correctly-named segmentation bases selected (four used here)	4
Demographic segmentation	Correctly applied to ice cream with at least two named segments and a commercial implication	6
Socio-economic segmentation	Correctly applied with named segments and a commercial implication	6
Psychographic segmentation	Correctly applied with named segments and a commercial implication	6
Behavioural segmentation	Correctly applied with named segments and a commercial implication	6
Evaluation (DAMP) & commercial insight	Applies Distinct/Accessible/Measurable/Profitable criteria to move from description to actionable insight	2

Question 3 total: 5 + 5 + 5 + 30 = 45 / 45 marks